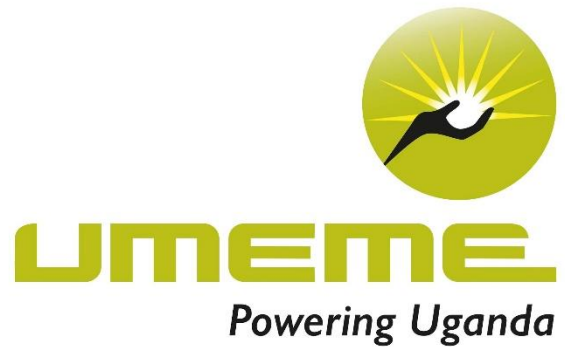


Umeme Limited

FY2020 Results Presentation

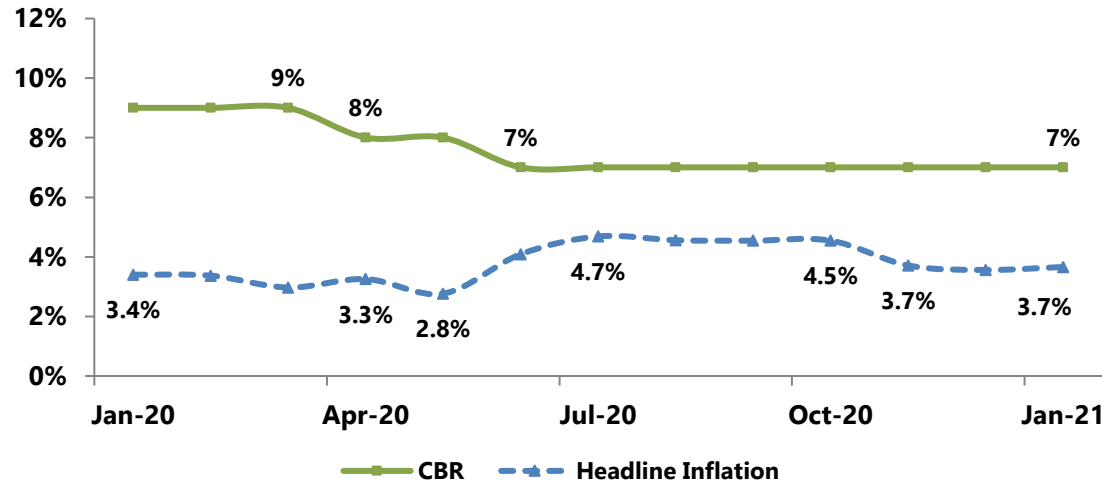


CONTENTS

- **Country & Macroeconomic Updates**
- **Year in Review**
- **Operational & Financial Performance**
- **Regulatory Update**
- **Outlook**
- **Q&A**

Country & Macro Updates

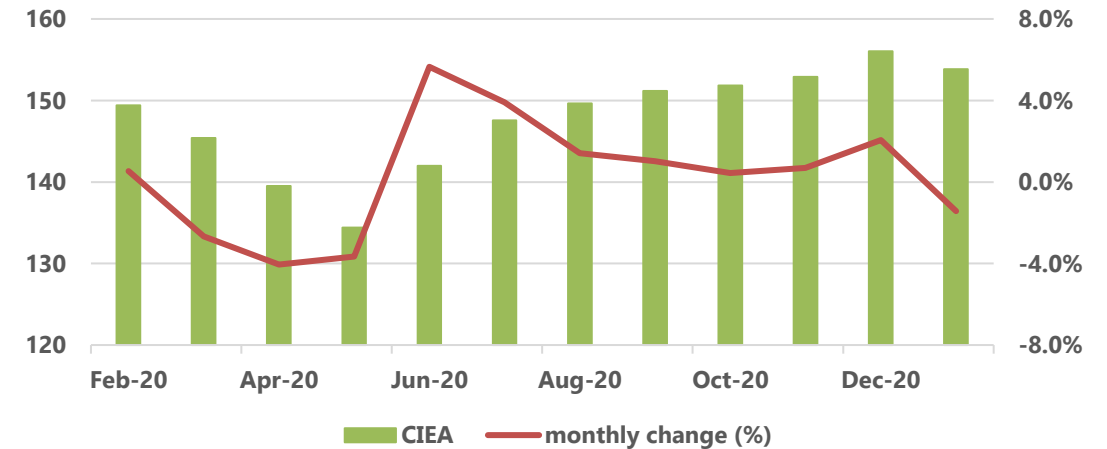
Interest Rates and Headline Inflation



Source: Bank of Uganda

- Central Bank Rate (**CBR**) has been maintained at 7% to support economic recovery.

Composite Index of Economic Activity



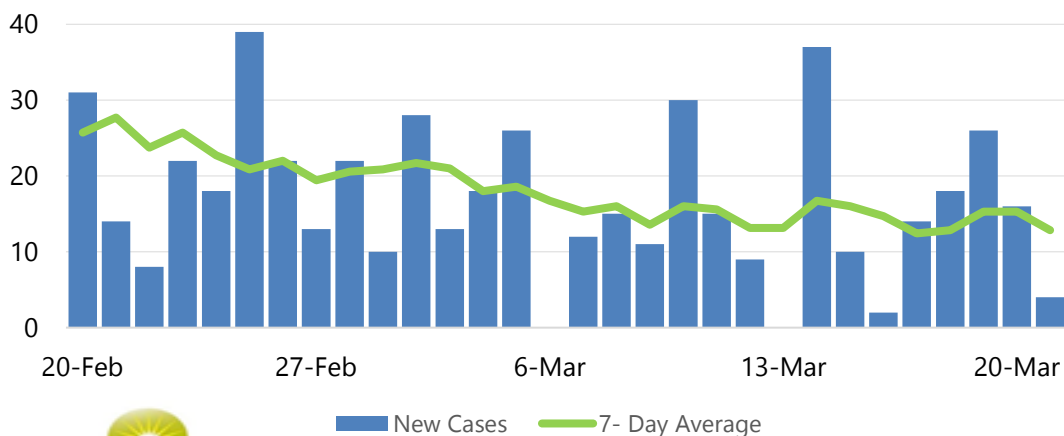
- Composite Index of Economic Activity strengthened through June – Dec 2020 before - **1.4%** m/m downturn in January 2021.
- January 2021 slump attributed to election season
- GDP Forecast 20/21 – 3.1% (2.9% in 19/20)
- Medium-term catalyst:** Oil & Gas ~ \$20bn investments in next 5 years

Covid-19 & Impact on Business

Uganda Covid-19 Cases - All time data



Covid-19 Cases - Past 30 Days



Source: JHU, Ministry of Health Uganda



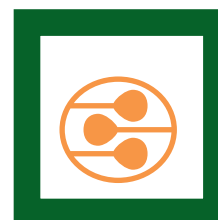
Lockdowns (March – October)

- Limited field activities impacted commercial losses performance
- Revenue collection weakened in Q2



Compliance with SOPs and new ways of work

- Increased cost of operations



Electricity demand

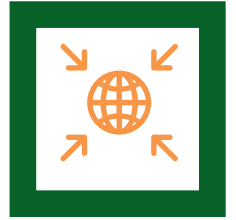
- Commercial, medium-industrial and large industrial demand weakened 9%.
- Large industrial remained strong at 18%
- Year-on-year growth at 1% vs 6% in prior year

Umeme: Year in Review



\$75m Capital Expenditure

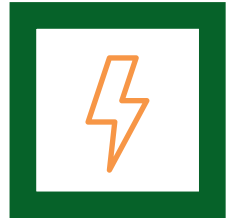
Impact of the pandemic on the business



72.5% Customer Satisfaction Index

Safety

7 Public Fatalities



Investments in Technology



Tax Appeals Tribunal Ruling

Capital Allowances



Capital Expenditure - \$75m



Conversion to Prepaid Metering



We converted 168,000 customers to prepayment last year. This resulted in reduced meter reading, billing and bill delivery costs while empowering customers to self-serve.



Substation Upgrades



- Gulu substation expansion
- Mbale Industrial park revamp
- Nakawa substation
- Bombo & Ntinda substation upgrade
- Integrated Mbale 50MW Transmission plant



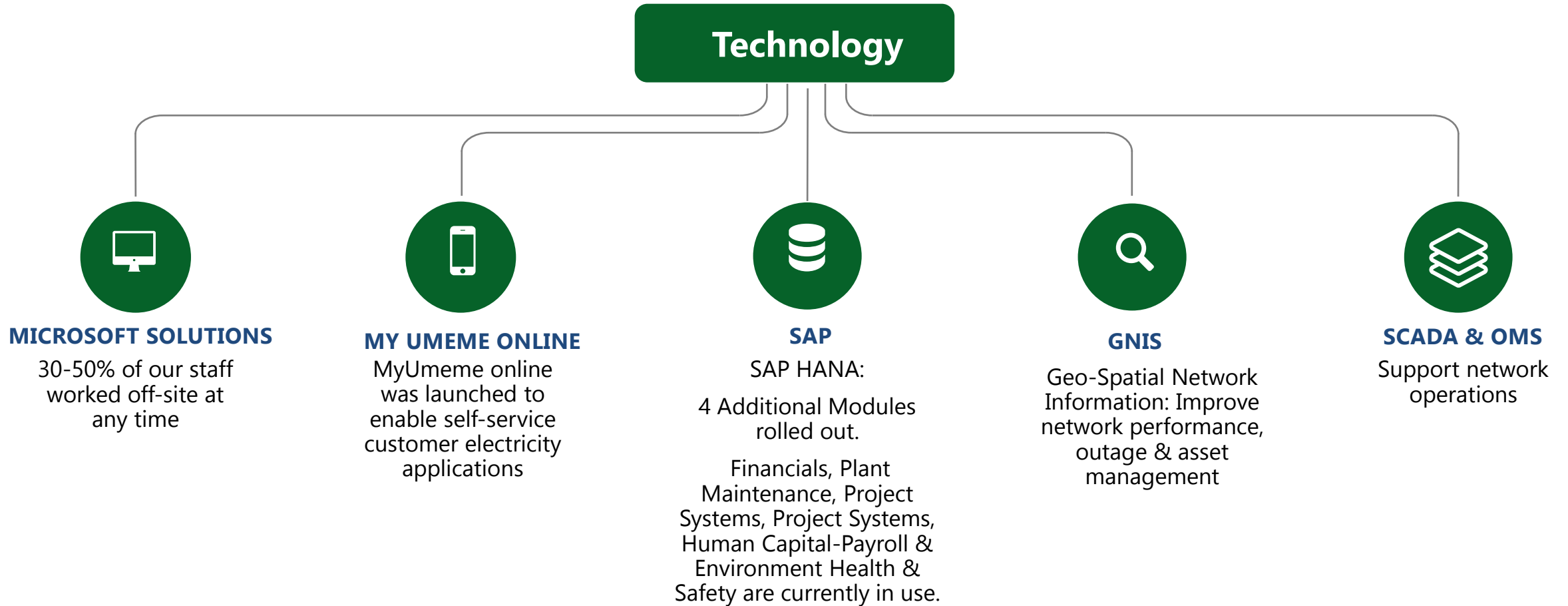
Quality & Reliability Improvements



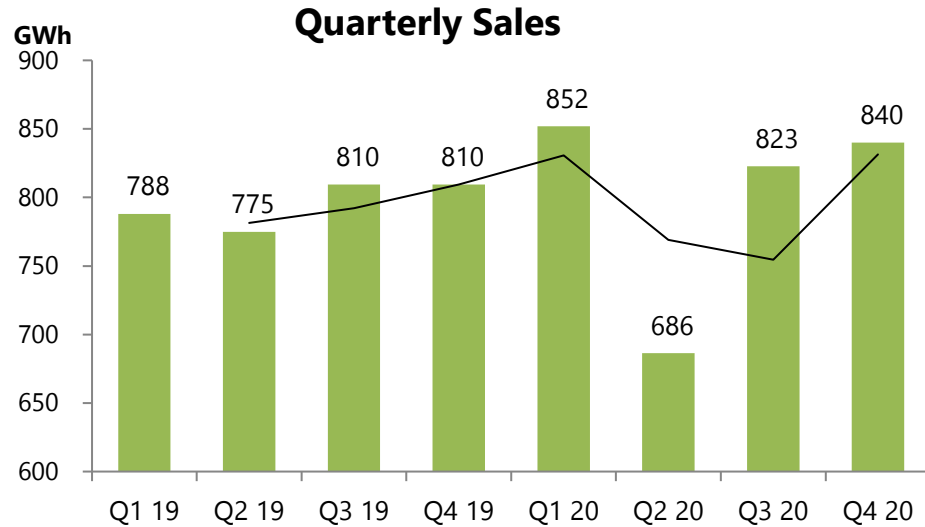
Improving the quality and reliability of service was one of the key priority areas.

Technology Platforms

Several technology solutions rolled out to serve our customers better and maximize staff productivity



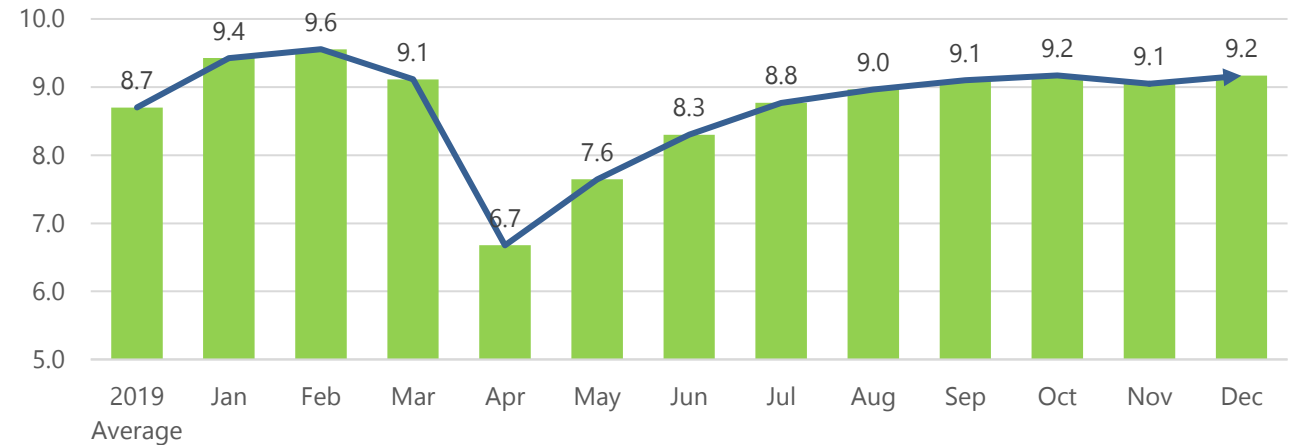
Electricity Sales



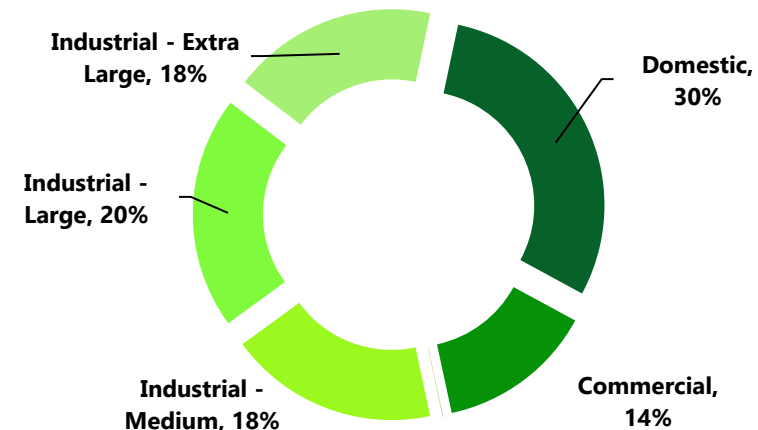
Sales & Revenue Growth by Customer Category

Customer Category	Sales Growth	Revenue Growth	Distribution Margin
Domestic	5%	3%	39%
Commercial	-8%	-12%	49%
Industrial – Medium	-9%	-13%	49%
Industrial – Large	-9%	-9%	19%
Industrial – Extra Large	18%	17%	5%
Overall	1%	-3%	33%

2020 Daily Average Sales -GWh

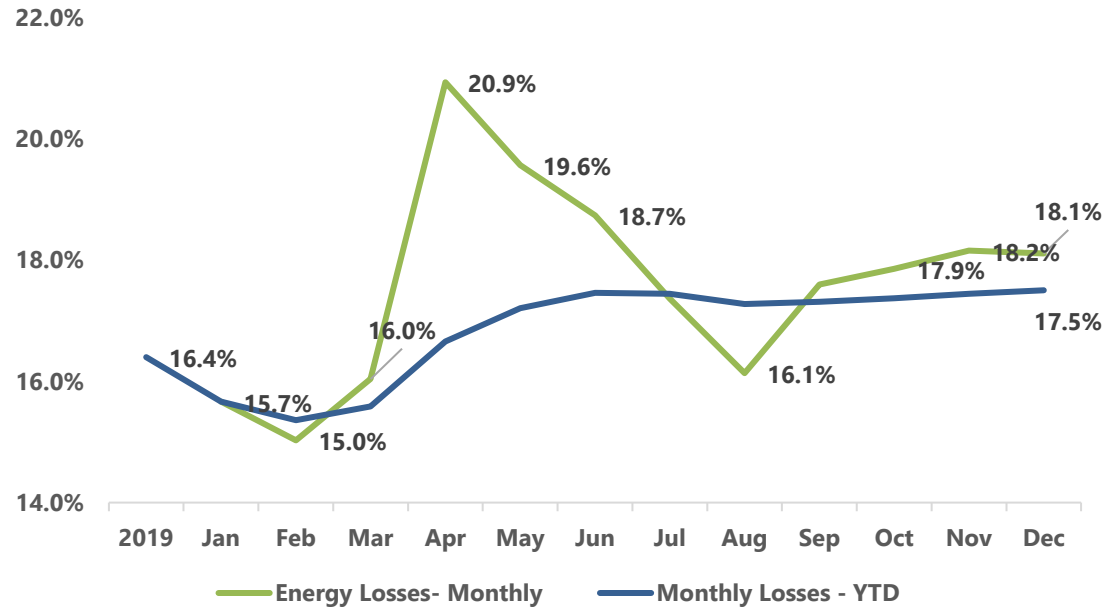


Sales Breakdown for 2020



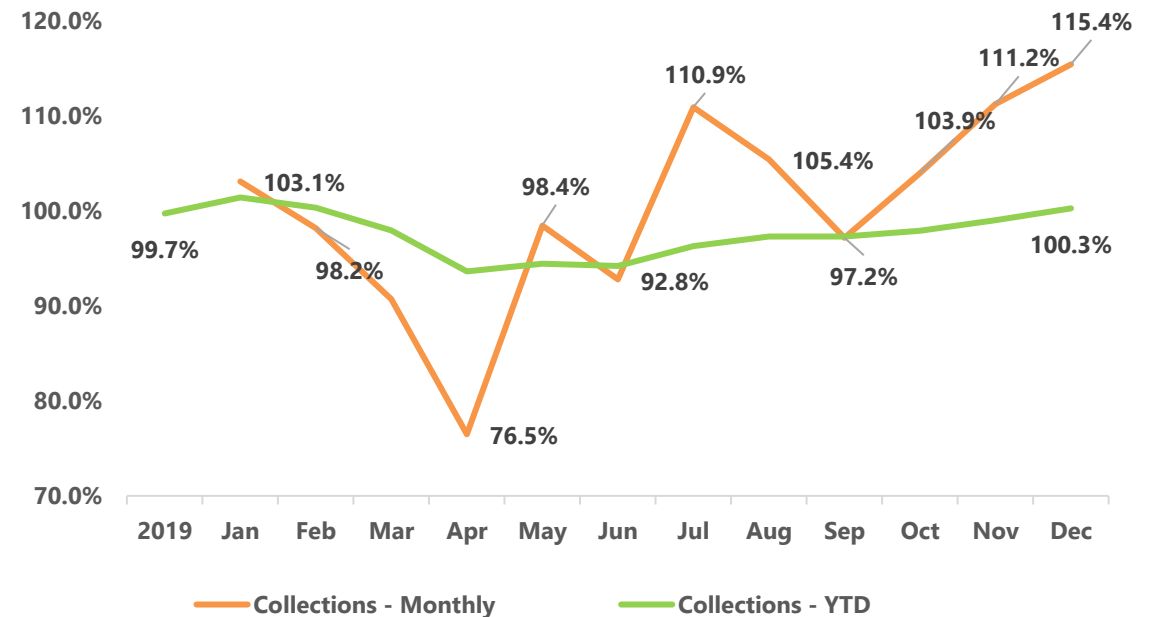
Energy Losses and Cash Collections

Losses



- Losses increased to **17.5%** (15.9% at FY2019)
- Commercial loss initiatives were greatly affected by the restrictions during lockdown
- Monthly energy losses peaked at **20.9%** during April 2020

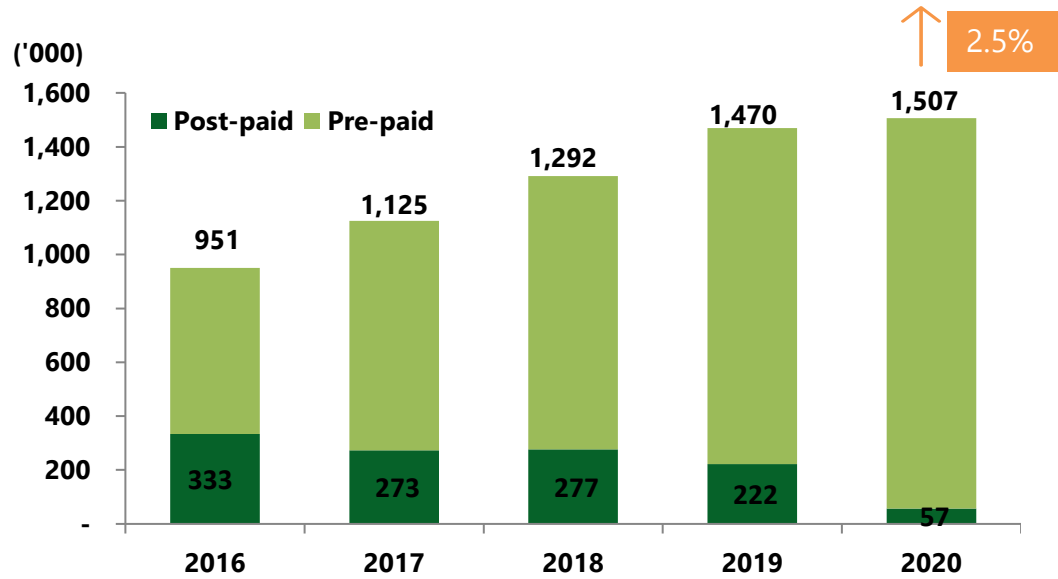
Cash Collections



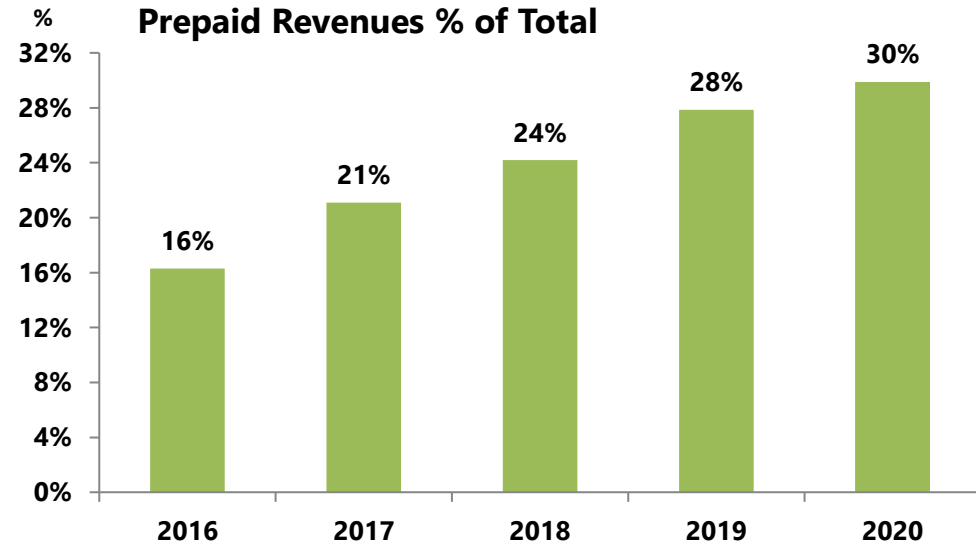
- Revenue collections picked up in H2 2020, and ended at a YTD rate of 100.3%,
- GoU budgets prioritized arrears and utility payments which led to an increase in collections in the second half of the year.
- Accelerated rollout of prepayment metering

Customer Connections

Customer Numbers



Prepaid Revenues % of Total



- Connected 59k new customers
- 168,000 customers converted to prepayment metering
- 97% of domestic customers on prepaid metering

Financial Summary

Revenue

▼ **\$446m**

Total Assets

\$730m ▲

Operating Expenses

▲ **\$60.6m**

Net Debt

\$156m ▲

EBITDA

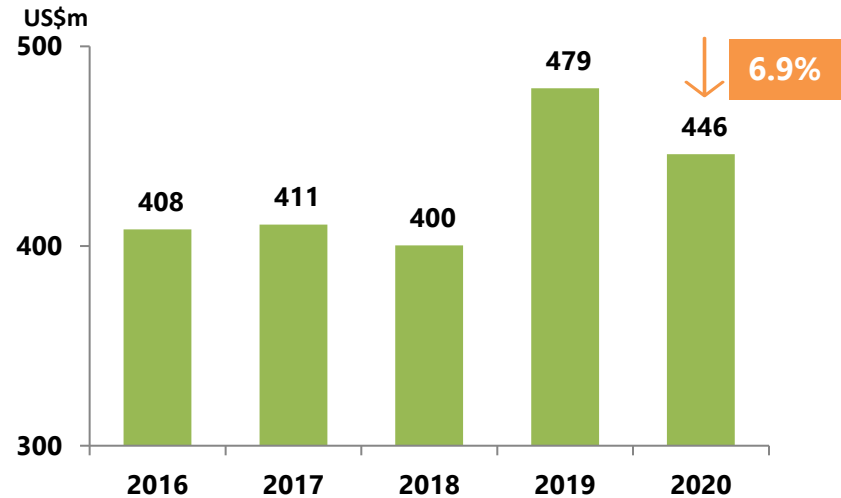
▼ **\$66m**

Operating Cashflow (Net)

\$75m ▲

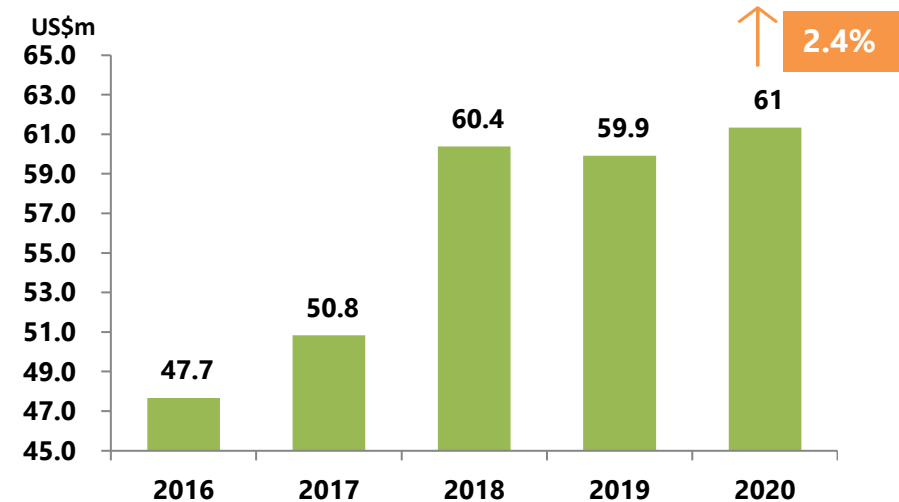
Financial Highlights

Revenue (\$m)



- Revenue, inclusive of revenue from the ECP program, decreased by 7% to US\$ 446m.
- Revenues from the provision of ECP services reduced by 72% due to suspension of the ECP Program.
- Volume sales (GWh) remained in line with 2019 levels. Regression in the commercial and medium industrial tariff categories were offset by the increase in demand by the large industrial users.

Operating Expenses (\$m)

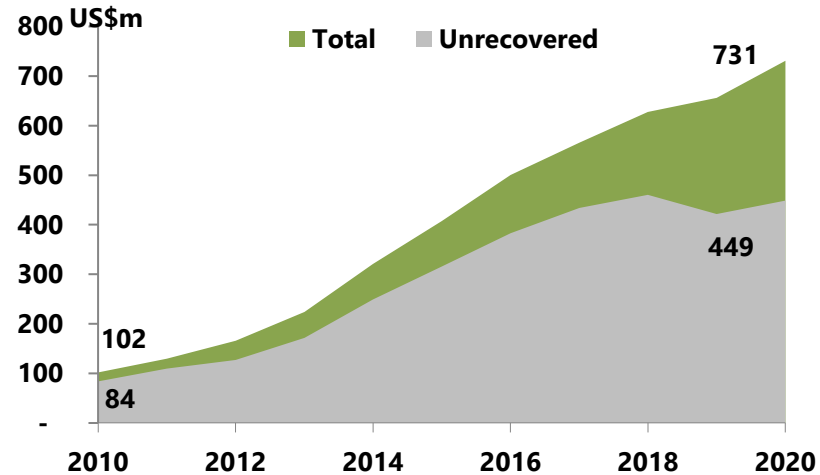


Operating costs were mainly driven by increase in repairs and maintenance costs and implementing COVID-19 Standard Operating Procedures.

The company is undertaking cost optimisation initiatives to benefit from the strategic ICT investments and new ways of doing business.

Financial Highlights

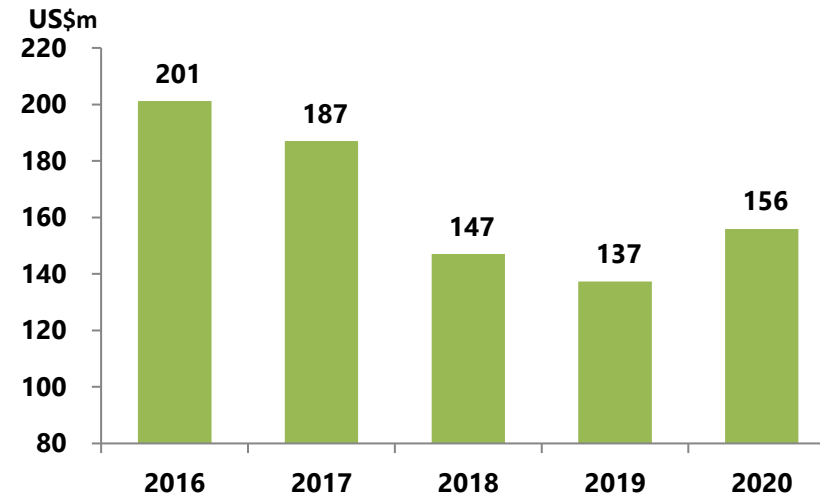
Cumulative Capital Expenditure (\$m)



We invested \$75m in

- building and upgrading 7 substations
- Constructing distribution integration lines with transmission infrastructure,
- Expansion of distribution transformer zones and
- conversion of 168,000 customers to prepayment metering

Net Debt (\$m)



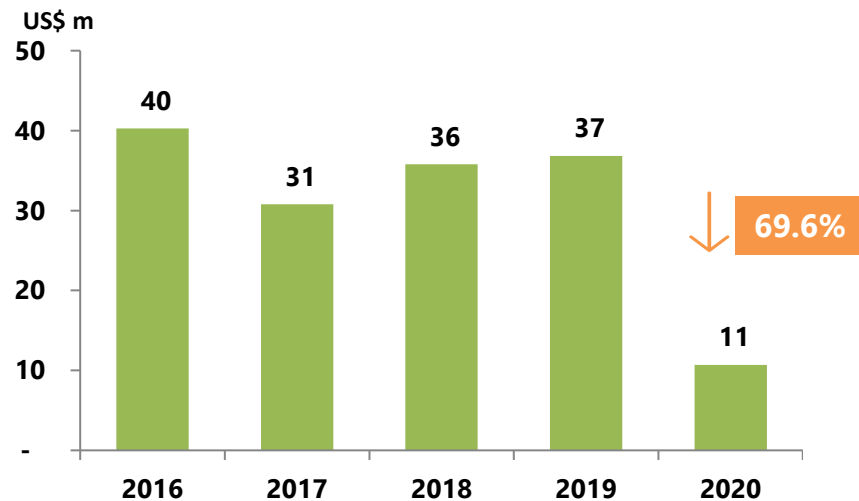
The Company utilized the final drawdown and accessed \$19 million as part of the US\$70m term facility secured in 2019.

We repaid US\$ 29.7 million (2019: US\$ 62.8 million) in settlement of the short- and long-term facilities.

Gross debt at US\$ 164m.

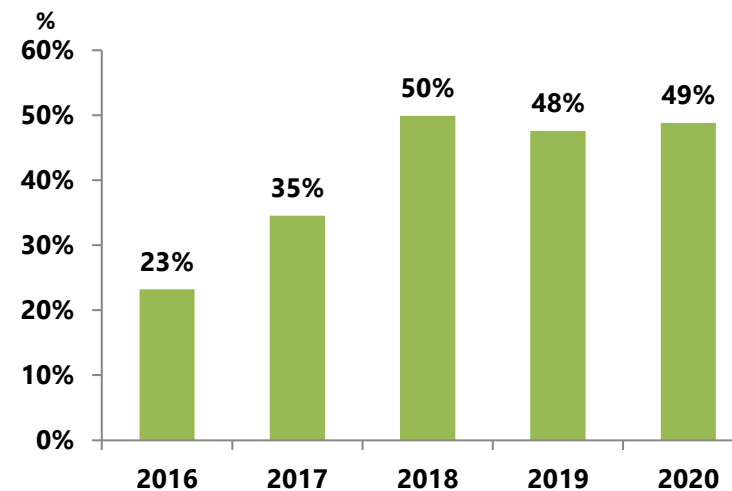
Financial Highlights

Net Profit (\$m)



Profit after Tax reduced by 69.6%, to \$ 11.2 million

Dividend Payout Ratio

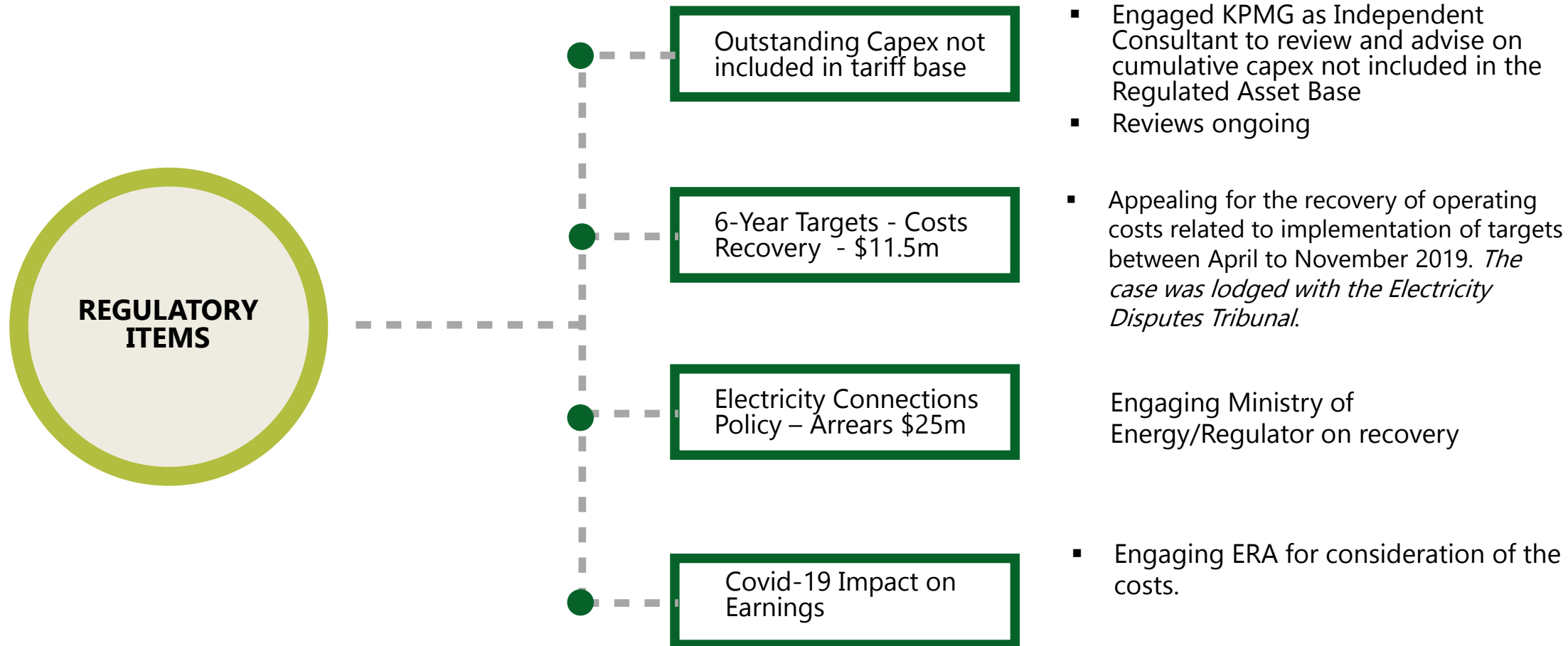


Dividend Per Share recommended – Ushs 12.2

Books closure date: 25th June 2021

Payment date: 19th July 2021

Regulatory Items



Strategic Focus Areas



Safety

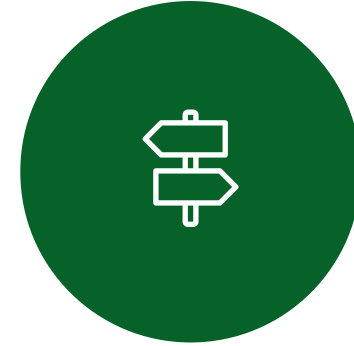
Ensure safety of staff and customers amidst the pandemic



Grow profitability

Supply reliability, loss reduction, collections, cost containment while sustaining cash collection levels

Resolve outstanding regulatory matters



Concession Resolution

Complete concession extension project on favourable terms

Raise long-term capital



Q&A



Thank You.